Tax Alert

Opportunity Zone 2.0 and California Investment Opportunities

California Real estate investors, fund sponsors, developers, and operating businesses evaluating investments in newly designated California OZ 2.0 Qualified Opportunity Zone census tracts

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Executive Summary

The Opportunity Zone incentive has been significantly reshaped under the One Big Beautiful Bill Act / 2025 Act. For post-2026 investments, the program becomes a **permanent federal tax incentive** with recurring 10-year designation cycles, a refreshed census-tract designation process, and a new enhanced category for **Qualified Rural Opportunity Funds**. The first new designation cycle begins **January 1, 2027** and runs through **December 31, 2036**.

For investors, Opportunity Zone 2.0 continues to offer three core federal benefits:

- **Deferral** of eligible capital gains invested into a Qualified Opportunity Fund (QOF) within the required 180-day window (note that K-1 gains, IRC Section 1231 Gains and Installment Sale Gains have longer periods to reinvest);
- A **10% Urban/ 30% Rural basis step-up** after a five-year holding period for standard QOF investments;
- **Permanent exclusion of post-acquisition gain** on qualifying QOF interests held at least 10 years from initial QOF funding

For rural projects, the 2025 Act adds a more powerful investment channel: **Qualified Rural Opportunity Funds**. QROFs generally must hold at least 90% of assets in rural QOZ property or rural QOZ businesses and receive a **30% five-year basis step-up** rather than 10%. Rural real estate and business property also benefit from a reduced "substantial-improvement" threshold—**50% of adjusted basis**, rather than the general 100% standard improvement requirement.

California Non-Conformity with The OZ Program

While taxpayers can invest into California OZ census tracts and obtain the aforementioned federal benefits, CA does **not** conform to the federal OZ gain deferral and exclusion rules under IRC §§ 1400Z-1 and 1400Z-2, and the California Franchise Tax Board states that California also does not conform to the OBBBA changes to those provisions.

Despite the non-conformity under both OZ 1.0 and 2.0, California saw the largest state OZ investments under OZ 1.0, and the same is expected under OZ 2.0 for a number of reasons.

California's residential and commercial real estate continue to be highly attractive to investors. In addition, taxpayers generally prefer to make investments near where they live so they can monitor build progress and condition of the property.

California has a very robust set of complementary tools for California developers and business operators—including Enhanced Infrastructure Financing Districts (43 approved and operating), Community Revitalization and Investment Authorities, Climate Resilience Districts, and special tax / assessment districts—that can finance infrastructure, affordable housing, environmental remediation, climate resilience, and other public improvements supporting OZ projects.

Bottom line: Although California does not provide state-level income tax conformity for the federal OZ benefits, California OZ 2.0 investments will still be very compelling when federal tax benefits are paired with local tax-increment financing, special-district financing, infrastructure support, affordable housing tools, and California's deep real estate markets, technology, logistics, healthcare, life sciences, agriculture, and clean-energy markets.

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2. California Urban Real Estate Projects: Benefits and Requirements

Urban California OZ projects may include multifamily housing, mixed-use development, adaptive reuse, industrial / logistics, life sciences, healthcare, hospitality, student housing, retail repositioning, and transit-oriented development. In high-cost California markets, the federal OZ benefit can be particularly valuable where investors expect long-term appreciation and can underwrite a 10-year or longer exit horizon. It is noteworthy that after a 10-year hold, not only does the appreciation in the project escape federal taxation, but all federal depreciation and amortization expensed over that period is never recaptured under the OZ rules. This can increase a projects' after-tax IRR by 2-3% per year, even if the project itself did not appreciate.

Original Use or Substantial Improvement

For acquired tangible property to qualify as QOZ business property, the property generally must satisfy either:

- The **original use** of the property in the QOZ begins with the QOF or QOZ business; or
- The property is **substantially improved** by the QOF or QOZ business.

Under the general substantial-improvement rule, tangible property is substantially improved only if, during a 30-month period beginning after acquisition, additions to basis exceed an amount equal to the property's adjusted basis at the beginning of the 30-month period . For real estate, land is typically analyzed separately from the building, so the improvement threshold is lower. For example, if a taxpayer purchases a property for $5 million, and the land is worth

$1.5 million, the OZ fund is only required to improve the building and/ or other property by another $3.5 million.

3. Rural Projects and Qualified Rural Opportunity Funds

Opportunity Zone 2.0 creates a distinct and potentially powerful incentive for rural projects through **Qualified Rural Opportunity Funds**. This may be especially important in California regions with agricultural, logistics, renewable energy, resilient infrastructure projects, water infrastructure, workforce housing, healthcare, tourism, manufacturing, and rural broadband opportunities. We anticipate many interesting OZ 2.0 rural projects. Include infrastructure, public-private partnerships and energy/ water projects.

4. Operating Businesses in California OZ Census Tracts

Opportunity Zones are not limited to real estate development. Operating businesses located in new OZ census tracts may also benefit by attracting patient equity capital from investors seeking federal OZ benefits. Relevant business categories may include advanced manufacturing, logistics, agribusiness, clean technology, healthcare services, food production, professional services, software, research and development, and local services that can meet QOZ business requirements.

QOZ Business Standards

A trade or business generally qualifies as a QOZ business if it satisfies the following requirements:

- At least **70%** of the tangible property owned or leased by the business is QOZ business property;
- At least **50%** of gross income is derived from the active conduct of a trade or business in the QOZ;
- At least **40%** of intangible property is used in the active conduct of a trade or business in the QOZ;
- Less than **5%** of the average aggregate unadjusted bases of property is attributable to nonqualified financial property; and
- The business is not a prohibited "sin business," such as a private or commercial golf course, country club, massage parlor, hot tub facility, suntan facility, racetrack or other gambling facility, or liquor store whose principal business is off-premises consumption 8.

5. California Complementary Benefits: EIFDs, CRIAs / CRDs, Special Tax Districts, and Tax Increment Financing (TIF)

California's post-redevelopment financing framework can provide meaningful project-level and district-level support for OZ 2.0 investments. These tools generally do not replicate the federal income tax benefits. Instead, they may help fund the infrastructure and public improvements that make private real estate and operating business investment feasible. It is expected that over 21 or more cities and counties will have overlapping OZ and TIF Districts, with more under way

since many cities with Ozs are planning to accelerate TIF District approval in order to improve regional competitiveness.

California Competes Tax Credit (CCTC) Program

The **California Competes Tax Credit (CCTC) Program** is a California economic development incentive administered by the Governor's Office of Business and Economic Development (GO-Biz). The program provides a nonrefundable state income tax credit to businesses that are planning to locate in California, expand existing operations, or retain jobs and investments within the state. Awards are made on a competitive basis, with applicants evaluated on factors such as job creation, investment commitments, wages, economic impact, and strategic importance to the region or state. Businesses of any industry, size, or location within California may apply during designated application periods each fiscal year, and successful applicants enter into a tax credit agreement that sets forth specific employment and investment milestones that must be achieved to earn the credit.

Application Portal:
California Competes Tax Credit Online Application [calcompetes.ca.gov]

Program Information and Application Guide:
California Competes Tax Credit Program Overview
California Competes Application Guide (PDF)

Enhanced Infrastructure Financing Districts

Enhanced Infrastructure Financing Districts are authorized under **Government Code § 53398.50 et seq.** and were established by SB 628, Chapter 785, Statutes of 2014, as later modified by AB 313, Chapter 320, Statutes of 2015 17. SB 628 authorized EIFDs to fund infrastructure projects through tax-increment financing under an infrastructure financing plan and agreements with affected taxing entities 19.

The California Debt Financing Guide identifies eligible EIFD uses including transportation, transit, parks, libraries, water and sewer facilities, solid waste facilities, flood control and drainage, environmental mitigation, low-income housing, transit-priority projects, and projects implementing a sustainable communities strategy 17.

EIFDs are governed by a public financing authority composed of participating taxing-entity representatives and public members. EIFD tax increment comes only from affected taxing entities that approve participation; school districts, county boards of education, and community college districts are excluded 17.

Tax Increment Financing Mechanics

The California Legislative Analyst's Office explains the basic TIF mechanism: once an infrastructure financing district is formed, it receives a portion of future **property-tax growth**

within the district—the tax increment—to fund specified infrastructure projects 22. SCAG similarly describes the process as freezing property-tax revenues at a base level and pooling future incremental revenues to fund improvements directly or repay bonds; SCAG also notes that EIFDs do **not increase property taxes** and cannot pull property taxes from school districts 24.

This structure can be valuable for OZ projects because it may fund the "horizontal" infrastructure—roads, utilities, stormwater systems, parks, transit access, and public facilities—that unlocks private vertical development.

Community Revitalization and Investment Authorities and Climate Resilience Districts

California's GO-Biz TIF tools materials compare Community Revitalization and Investment Authorities and EIFDs. CRIAs are tied to specified census tracts or properties based on socioeconomic and physical conditions, require a **25% affordable-housing allocation**, and can leverage New Markets Tax Credits, federal grants, and California HCD funding 18.

California's official business / development materials also describe CRIAs as authorizing local agencies to use TIF to plan and construct affordable housing, community infrastructure, and public facilities in eligible areas facing socioeconomic and physical challenges. CRIAs may also acquire and convey property, provide direct assistance to small businesses, make loans or grants to businesses in the district, and conduct brownfield restoration or environmental mitigation.

Climate Resilience Districts are another emerging tool. The California State Board of Equalization has issued guidance referencing Enhanced Infrastructure Financing Districts and Climate Resilience Districts, noting that SB 782 added Government Code § 62313 and authorizes the creation of climate resilience districts to finance disaster recovery efforts under specified conditions, including division of taxes of participating entities 16.

Special Tax and Assessment Districts

In addition to TIF, California projects may be able to pair OZ equity with special tax or assessment district financing, depending on local approvals and project facts. These districts can help finance infrastructure or services that benefit properties within the district. For large master-planned, mixed-use, or industrial projects, special taxes, assessments, fee credits, reimbursements, grants, bond proceeds, or public-private infrastructure agreements may improve feasibility.

Practical Examples and Market Use

SCAG identifies the City of Placentia / County of Orange EIFD as established in September 2019 and describes it as the first city / county EIFD partnership in California, formed around an upcoming transit station, Old Town Placentia, and a transit-oriented development district 23. The example illustrates how local governments can use district financing to support transit-oriented and place-based development—precisely the type of infrastructure-driven investment that may align with OZ 2.0 projects.

California Proposition 4

In November 2024, California voters approved **Proposition 4**, which authorized **$10 billion** in state general obligation bonds under the **Safe Drinking Water, Wildfire Prevention, Drought Preparedness, and Clean Air Bond Act of 2024** 25 26.

Major Funding Categories

Proposition 4 allocates bond proceeds across major climate- and natural-resources categories, including:

- **$3.8 billion** for **drought, flood, and water supply**;
- **$1.5 billion** for **forest health and wildfire prevention**;
- **$1.2 billion** for **sea-level rise and coastal areas**;
- **$1.2 billion** for **land conservation and habitat restoration**;
- **$850 million** for **energy infrastructure**;
- **$700 million** for **parks**;
- **$450 million** for **extreme heat**; and
- **$300 million** for **farms and agriculture** 26.

Relevance to Opportunity Zone 2.0 Investors in California

While Proposition 4 does not change California's nonconformity with federal OZ gain deferral or gain exclusion rules, it may still be relevant to **OZ 2.0 investors and sponsors** because bond-funded programs may provide **grants and loans** (often administered through state agencies) to **local governments, Native American tribes, not-for-profit organizations, and businesses** 26. To the extent these funds support public infrastructure and resilience priorities—such as water reliability and quality, wildfire mitigation and forest health, coastal protection, parks and open space, extreme-heat mitigation, and energy infrastructure—Proposition 4 programs may help:

- Finance or accelerate "horizontal" public improvements that support development feasibility around OZ projects;
- Reduce climate and disaster risk that can impact underwriting, insurance availability/cost, and entitlement strategy; and
- Increase community benefits and align OZ projects with local and statewide resilience and environmental priorities 27.

Proposition 4 also requires that **at least 40% of bond funds** be used for activities that **directly benefit lower-income or climate-vulnerable communities** 27. Because OZ 2.0 census tracts are intended to target lower-income areas, there may be meaningful overlap between (i) the locations of new OZ designations and (ii) communities prioritized for Proposition 4 funding, potentially creating opportunities to pair **federal OZ equity** with **California bond-supported infrastructure, resilience, and community-improvement funding**.

5. Why California OZ 2.0 Investments May Be Attractive Despite OZ Nonconformity

California's nonconformity means investors should not overstate state income tax benefits. Nevertheless, the investment thesis for California OZ 2.0 remains strong where federal tax benefits are layered with local and state-supported financing tools.

Key Investment Drivers

- **Federal tax efficiency:** Deferral, five-year basis step-up, and 10-year gain exclusion can materially improve after-tax returns for long-term investors.
- **Infrastructure leverage:** EIFDs, CRIAs, CRDs, and special districts may fund improvements that increase project feasibility and land value without raising property tax rates in the same manner as a new ad valorem tax.
- **Affordable housing alignment:** Many California OZ tracts are likely to overlap with housing need, transit investment, and local housing-policy objectives.
- **Operating business capital formation:** OZ equity can support growth companies located in eligible tracts, particularly where businesses can satisfy active income, tangible property, and working-capital requirements.
- **Robust California markets:** California remains one of the nation's largest and most diverse real estate and business markets, with deep demand drivers in housing, logistics, entertainment, technology, life sciences, healthcare, agriculture, renewable energy, and international trade.

The most compelling California OZ 2.0 projects will likely be those that combine: **federal OZ-eligible equity**, **local infrastructure finance**, **entitlement strategy**, **housing or economic-development alignment**, and **long-term asset appreciation potential**.

Practical Planning Considerations

Investors, fund sponsors, developers, and operating businesses should consider the following before committing capital:

1. **Confirm tract eligibility.** New OZ census tracts must be designated under the 2027–2036 cycle. Do not assume current OZ status will carry over.
2. **Track the 180-day window.** Eligible gain generally must be invested in a QOF within 180 days, subject to special rules for pass-through gains and certain capital gain dividends 3.
3. **Model federal and California tax separately.** California does not conform to the federal deferral and exclusion rules 15.
4. **Determine whether urban or rural rules apply.** Rural status may unlock the QROF 30% basis step-up and 50% substantial-improvement threshold.
5. **Build a compliance calendar.** QOF, QOZB, tangible property, gross income, intangible use, financial property, and working-capital requirements require ongoing monitoring.

6. **Coordinate with local governments early.** EIFDs, CRIAs, CRDs, and special tax districts require public-sector participation, financing plans, and governance approvals.
7. **Integrate entitlement and infrastructure strategy.** California development value often depends on zoning, CEQA strategy, utility capacity, transportation access, and public infrastructure funding.
8. **Evaluate exit timing.** The 10-year gain exclusion and 30-year cap make long-term hold assumptions central to underwriting.
9. **Document working capital.** Operating businesses and development projects should maintain written working-capital designations, schedules, and evidence of actual use consistent with the safe harbor 9.
10. **Monitor guidance.** Treasury and IRS guidance, California conformity legislation, local district formation practices, and new tract designations should be monitored closely.

Caveats

- This Tax Alert summarizes selected federal and California rules based on current research and should not be treated as legal, tax, securities, or investment advice.
- OZ investments often involve complex tax, partnership, securities, valuation, and real estate issues.
- California nonconformity may significantly affect after-tax returns for California residents and California-source income.
- Local financing tools are not automatic incentives; they generally require local government action, public processes, feasibility analysis, and compliance with applicable statutes.
- Investors should consult tax advisors before selling assets to be invested into an OZ Fund, electing deferral, forming a QOF, admitting investors, acquiring property, or relying on QOZ business status.

Concise Primary Sources and Authorities

- **IRC § 1400Z-2, effective January 1, 2027** — special rules for capital gains invested in opportunity zones, including five-year gain inclusion mechanics 2.
- **Checkpoint editorial analysis of post-2026 QOZ rules** — permanence, 10-year designation cycles, first designations beginning January 1, 2027 through December 31, 2036, and core tax benefits 1.
- **Checkpoint QROF analysis** — 90% rural asset requirement, 30% five-year basis step-up, and reduced rural substantial-improvement threshold 3 4 5.
- **California Franchise Tax Board** — California nonconformity with federal OZ deferral / exclusion and OBBBA changes 15.
- **California Government Code § 53398.50 et seq. / California Debt Financing Guide** — EIFD legal and financing framework 17.
- **SB 628 and SB 63 legislative materials** — creation and post-redevelopment context for EIFD-style TIF tools 19 21.

- **California LAO and SCAG** — tax increment mechanics and examples of EIFD implementation 22 23 24.
- **California BOE CRD letter** — Climate Resilience District tax-division / disaster recovery financing reference 16.

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